NOMURA

Global Markets Research

20 March 2026

Tencent Holdings 0700.HK 700 HK

EQUITY: INTERNET & NEW MEDIA

Raising investments to capture the AI opportunity

Tencent still well-placed to catch-up in the AI race backed by ample cash and WeChat; maintain Buy

Adopting a more proactive approach towards AI investments

At the recent 4Q25 call, Tencent indicated its plan to further ramp up investments in new AI products in 2026 – the company plans to more than double its investments to CNY36bn-plus, representing over 4% of the pre-4Q Bloomberg consensus revenue forecast for FY26 (CNY831bn). Meanwhile, Tencent signaled a pivot in its AI cloud investments, projecting robust growth in its external cloud revenue for 2026 while sustaining solid profitability on the back of improving pricing environment, strong AI demand and overseas expansion. Tencent Cloud revenue had lagged the growth of its major rivals such as AliCloud (owned by Alibaba [BABA US, Buy]) and Bytedance (unlisted) in the past year due to its underinvestments in GPUs to fulfil the ever-rising demand from external cloud clients. With this shift in the AI cloud strategy, we forecast the growth of its cloud revenue to accelerate to 20% in FY26 from our estimate of 16% growth in FY25. Tencent indicated it plans to compete on cloud services and AI capabilities instead of prices. In view of the current robust demand for AI cloud services, we are not concerned that Tencent's deeper involvement in the AI cloud market would lead to irrational competition.

Core businesses remain healthy despite temporary margin pressure

Tencent's two cash-cow businesses— online gaming and ads— will continue to deliver healthy growth rate, though 2026 will likely see a high base for its overseas gaming business, in our view. We forecast its online gaming revenue to grow 13% in FY26F, vs. 22% last year, while the ads revenue may rise 18%, largely on par with the 19% growth in FY25. Tencent's gross margin may still have room to expand further on improving mix of revenue to 57% in FY26F, vs. 56% last year. However, as a result of the ramp-up in AI investments, we expect its non-GAAP operating margin to drop 0.4pp to 36.9% in FY26, leading to a slower 9% growth in non-GAAP operating profit, vs. our 10% topline growth estimate.

Maintain Buy with lower TP of HKD727, implying 43% upside

We trim our non-GAAP net profit by 3%/1% for FY26/27F (*Fig. 3*) owing to the cut in our margin assumptions. We now look for an 8% growth in net profit for each year. We maintain our Buy rating with SOTP-based TP lowered to HKD727 from HKD775 (*Fig. 4*), implying 21x 2026F P/E vs 22x previously on recent sector de-rating. The stock is currently trading at 15x 2026F P/E. Tencent's ample cash position, including its USD100bn-worth investment portfolio coupled with the strong cash-generative gaming business, and the dominant WeChat ecosystem, should enable the company narrow the gap with its peers in the AI racing, in our view. Its upcoming release of the Hunyuan 3.0 LLM in April may act as a stock catalyst.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	751,766	827,011	829,230	894,897	897,584	0	967,560
Reported net profit (mn)	224,842	236,008	235,589	255,413	254,096	0	274,440
Normalised net profit (mn)	259,626	288,750	280,500	308,278	304,146	0	330,001
FD normalised EPS	27.89	31.42	30.44	33.88	33.34		36.53
FD norm. EPS growth (%)	18.6	12.7	9.1	7.8	9.5		9.6
FD normalised P/E (x)	16.8	–	15.0	–	13.7	–	12.5
EV/EBITDA (x)	15.6	–	13.6	–	12.0	–	10.6
Price/book (x)	3.6	–	3.0	–	2.6	–	2.3
Dividend yield (%)	1.0	–	1.1	–	1.2	–	1.4
ROE (%)	21.1	18.1	18.6	16.8	17.1		16.1
Net debt/equity (%)	9.7	net cash	net cash	net cash	net cash		net cash

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Reduced from HKD 775.00	**HKD 727.00**
Closing price 20 March 2026	**HKD 508.00**
Implied upside	**+43.1%**
Market Cap (USD mn)	591,347.6
ADT (USD mn)	1,948.9

Relative performance chart

Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Tencent Holdings

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-2.7	-17.3	-2.2	M cap (USDmn)	591,347.6
Absolute (USD)	-3.0	-17.9	-3.1	Free float (%)	60.0
Rel to Hang Seng Index	0.8	-16.5	-7.5	3-mth ADT (USDmn)	1,948.9

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	660,257	751,766	829,230	897,584	967,560
Cost of goods sold	-311,011	-329,173	-353,800	-375,536	-401,791
Gross profit	349,246	422,593	475,431	522,048	565,769
SG&A	-121,919	-143,143	-173,995	-195,518	-211,729
Employee share expense	-27,230	-34,711	-38,288	-41,444	-44,675
Operating profit	200,097	244,739	263,148	285,086	309,366
EBITDA	256,310	307,887	329,486	356,892	386,770
Depreciation	-27,332	-25,560	-24,877	-26,928	-29,027
Amortisation	-28,881	-37,588	-41,462	-44,879	-48,378
EBIT	200,097	244,739	263,148	285,086	309,366
Net interest expense	3,557	3,453	4,133	4,887	5,723
Associates & JCEs	25,176	23,740	18,674	18,829	18,829
Other income	8,468	-4,851	2,600	2,600	2,600
Earnings before tax	237,298	267,081	288,555	311,402	336,518
Income tax	-45,018	-47,448	-55,965	-60,306	-65,078
Net profit after tax	192,280	219,633	232,589	251,096	271,440
Minorities	-2,394	-4,959	-3,000	-3,000	-3,000
Other items	32,817	44,952	50,910	56,050	61,562
Preferred dividends					
Normalised NPAT	222,703	259,626	280,500	304,146	330,001
Extraordinary items	-28,630	-34,784	-44,910	-50,050	-55,562
Reported NPAT	194,073	224,842	235,589	254,096	274,440
Dividends	-37,907	-44,041	-47,157	-51,649	-56,606
Transfer to reserves	156,166	180,801	188,432	202,447	217,834
Valuations and ratios					
Reported P/E (x)	22.9	19.4	17.8	16.4	15.0
Normalised P/E (x)	19.9	16.8	15.0	13.7	12.5
FD normalised P/E (x)	19.9	16.8	15.0	13.7	12.5
Dividend yield (%)	0.9	1.0	1.1	1.2	1.4
Price/cashflow (x)	17.2	14.4	13.1	10.9	11.6
Price/book (x)	4.5	3.6	3.0	2.6	2.3
EV/EBITDA (x)	18.7	15.6	13.6	12.0	10.6
EV/EBIT (x)	23.9	19.6	17.0	15.0	13.2
Gross margin (%)	52.9	56.2	57.3	58.2	58.5
EBITDA margin (%)	38.8	41.0	39.7	39.8	40.0
EBIT margin (%)	30.3	32.6	31.7	31.8	32.0
Net margin (%)	29.4	29.9	28.4	28.3	28.4
Effective tax rate (%)	19.0	17.8	19.4	19.4	19.3
Dividend payout (%)	19.5	19.6	20.0	20.3	20.6
ROE (%)	21.8	21.1	18.6	17.1	16.1
ROA (pretax %)	14.8	15.1	14.5	14.9	15.3
Growth (%)					
Revenue	8.4	13.9	10.3	8.2	7.8
EBITDA	19.6	20.1	7.0	8.3	8.4
Normalised EPS	44.5	18.6	9.1	9.5	9.6
Normalised FDEPS	44.5	18.6	9.1	9.5	9.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	256,310	307,887	329,486	356,892	386,770
Change in working capital	22,863	-20,825	-16,489	54,574	-10,225
Other operating cashflow	-20,652	15,990	8,775	-31,003	-22,146
CF from operations	258,521	303,052	321,772	380,463	354,400
Capital expenditure	-62,927	-79,198	-91,215	-98,734	-106,432
Free cashflow	195,594	223,854	230,557	281,729	247,968
Reduction in investments	-6,994	-43,824	0	0	0
Net acquisitions					
Dec in other LT assets	-180,662	-79,119	-38,725	-39,796	-40,911
Inc in other LT liabilities	-17,721	158	21,834	24,848	28,298
Adjustments	146,117	-3,749	-24,068	-28,403	-33,188
CF after investing acts	136,334	97,320	189,598	238,378	202,168
Cash dividends	-31,244	-37,907	-44,041	-47,157	-51,649
Equity issue	1,932	0	0	0	0
Debt issue	-107	0	0	0	0
Convertible debt issue	0	0	0	0	0
Others	-146,716	-50,891	0	0	0
CF from financial acts	-176,135	-88,798	-44,041	-47,157	-51,649
Net cashflow	-39,801	8,522	145,557	191,220	150,519
Beginning cash	172,320	132,519	141,041	286,598	477,818
Ending cash	132,519	141,041	286,598	477,818	628,337
Ending net debt	76,123	112,156	-33,401	-224,621	-375,140

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	132,519	141,041	286,598	477,818	628,337
Marketable securities	192,977	236,801	236,801	236,801	236,801
Accounts receivable	48,203	49,930	54,576	58,544	63,395
Inventories	440	530	530	530	530
Other current assets	122,041	167,158	167,158	167,158	167,158
Total current assets	496,180	595,460	745,663	940,852	1,096,221
LT investments	0	0	0	0	0
Fixed assets	80,185	149,905	216,243	288,050	365,455
Goodwill					
Other intangible assets	196,127	205,999	193,561	180,097	165,583
Other LT assets	1,008,503	1,087,622	1,126,347	1,166,143	1,207,053
Total assets	1,780,995	2,038,986	2,281,813	2,575,142	2,834,312
Short-term debt	52,885	42,618	42,618	42,618	42,618
Accounts payable	118,712	121,127	92,122	134,228	107,947
Other current liabilities	225,312	249,006	266,168	282,604	303,511
Total current liabilities	396,909	412,751	400,908	459,450	454,076
Long-term debt	149,521	208,369	208,369	208,369	208,369
Convertible debt	6,236	2,210	2,210	2,210	2,210
Other LT liabilities	174,433	174,591	196,425	221,272	249,570
Total liabilities	727,099	797,921	807,912	891,302	914,225
Minority interest	80,348	86,913	89,913	92,913	95,913
Preferred stock					
Common stock	81,518	143,716	143,716	143,716	143,716
Retained earnings	854,123	966,395	1,193,115	1,395,562	1,623,852
Proposed dividends	37,907	44,041	47,157	51,649	56,606
Other equity and reserves					
Total shareholders' equity	973,548	1,154,152	1,383,988	1,590,927	1,824,174
Total equity & liabilities	1,780,995	2,038,986	2,281,813	2,575,142	2,834,312

Liquidity (x)					
Current ratio	1.25	1.44	1.86	2.05	2.41
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	0.30	0.36	net cash	net cash	net cash
Net debt/equity (%)	7.82	9.72	net cash	net cash	net cash

Per share					
Reported EPS (CNY)	20.49	24.15	25.56	27.85	30.38
Norm EPS (CNY)	23.51	27.89	30.44	33.34	36.53
FD norm EPS (CNY)	23.51	27.89	30.44	33.34	36.53
BVPS (CNY)	105.03	127.04	152.34	175.12	200.79
DPS (CNY)	4.09	4.85	5.19	5.69	6.23
Activity (days)					
Days receivable	26.2	23.8	23.0	23.0	23.1
Days inventory	0.5	0.5	0.5	0.5	0.5
Days payable	128.9	133.0	110.0	110.0	110.3
Cash cycle	-102.2	-108.6	-86.5	-86.5	-86.8

Source: Company data, Nomura estimates

Company profile

Tencent provides a wide range of services, including gaming (including PC games and mobile games), other value added services (e.g. video entertainment), online advertising, fintech and business services (including payment and cloud services). Tencent also operates WeChat, China's largest messaging app.

Valuation Methodology

We value Tencent's online gaming business at USD283bn (FY26F P/E of 18x), online advertising business at USD235bn (FY26F P/E of 20x), Fintech business at USD163bn (FY26F P/E of 15x), and Cloud business at USD39bn (FY26F P/S of 5x). We value investees at USD118bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price

Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

ESG

Tencent's business is environmental friendly as it does not cause pollution or generate greenhouse gas. Its social ecosystem is creating massive business opportunities for content creators and merchants. Tencent maintains good corporate governance practices, including easy access for investors and proper disclosures.

Fig. 1: Tencent – 4Q25 results review

4Q25 results review									
CNYmn	4Q25	3Q25	4Q24	YoY	QoQ	Cons.	vs. Cons.	NMR Est.	vs NMR
Revenues	194,371	192,869	172,446	13%	1%	194,074	0.2%	193,474	0.5%
Gross profit	108,289	108,798	90,653	19%	0%	108,105	0.2%	109,805	-1.4%
Gross margin	55.7%	56.4%	52.6%	3.1ppt	-0.7ppt	55.7%	0.0ppt	56.8%	-1.0ppt
Non-IFRS op	69,518	72,570	59,475	17%	-4%	69,568	-0.1%	68,098	2.1%
Non-IFRS op margin	35.8%	37.6%	34.5%	1.3ppt	-1.9ppt	35.8%	-0.1ppt	35.2%	0.6ppt
Non-IFRS net profit	64,694	70,551	55,312	17%	-8%	64,926	-0.4%	63,878	1.3%
Non-IFRS net margin	33.3%	36.6%	32.1%	1.2ppt	-3.3ppt	33.5%	-0.2ppt	33.0%	0.3ppt
Non-IFRS EPS (CNY)	6.97	7.58	5.91	18%	-8%	7.00	-0.5%	6.93	0.6%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Tencent – revenue mix

Revenue mix								
CNYmn	4Q25	3Q25	4Q24	YoY	QoQ	NMR Est.	vs NMR	% of total rev.
Value Added Service (VAS)	**89,920**	**95,860**	**79,022**	**14%**	**-6%**	**88,567**	**2%**	**46%**
Online gaming business	59,300	63,600	49,200	21%	-7%	57,982	2%	31%
Incl. domestic online gaming	*38,200*	*42,800*	*33,200*	15%	-11%	*38,202*	0%	20%
overseas online gaming	*21,100*	*20,800*	*16,000*	32%	1%	*19,780*	7%	11%
Marketing Services	**41,116**	**36,242**	**35,004**	**17%**	**13%**	**41,792**	**-2%**	**21%**
FinTech and Business Services	**60,818**	**58,174**	**56,125**	**8%**	**5%**	**60,931**	**0%**	**31%**
Others	2,517	2,593	2,295	10%	-3%	2,184	15%	**1%**
Total revenue	**194,371**	**192,869**	**172,446**	**13%**	**1%**	**193,474**	**0%**	**100%**

Source: Company data, Nomura estimates

Fig. 3: Tencent – revisions to our earnings estimates

Nomura new estimates vs old						
	FY26F			FY27F		
(CNYmn except for EPS)	New	Old	Diff	New	Old	Diff
Revenues	829,230	827,011	0%	897,584	894,897	0%
Gross profit	475,431	476,512	0%	522,048	521,900	0%
Gross margin	57.3%	57.6%	-0.3ppt	58.2%	58.3%	-0.2ppt
Non-IFRS op	306,185	307,494	0%	331,078	333,538	-1%
Non-IFRS op margin	36.9%	37.2%	-0.3ppt	36.9%	37.3%	-0.4ppt
Non-IFRS net profit	280,500	288,750	-3%	304,146	308,278	-1%
Non-IFRS net margin	33.8%	34.9%	-1.1ppt	33.9%	34.4%	-0.6ppt
Non-IFRS EPS (CNY)	30.44	31.42	-3%	33.34	33.88	-2%

Source: Nomura estimates

Fig. 4: Tencent – SOTP valuation

USD mn unless otherwise stated	Market cap	Stake	Attributable valuation	Note
Core business				
Online gaming	283,031	100%	283,031	18x FY26F P/E
Ads	234,608	100%	234,608	20x FY26F P/E to capture Tencent's potential in search and short video ads (25x FY26F P/E previously)
Fintech	163,099	100%	163,099	15x FY26F P/E
Tencent Cloud	39,438	100%	39,438	5x FY26F P/S
Total			720,176	
Gross value from investees			148,000	
Holding discount			20%	
Attributable value from investees			118,400	
Total EV			838,576	
Net Cash			15,306	
Target market cap			853,883	
Share counts			9,216	
Target price (HKD)			**727**	

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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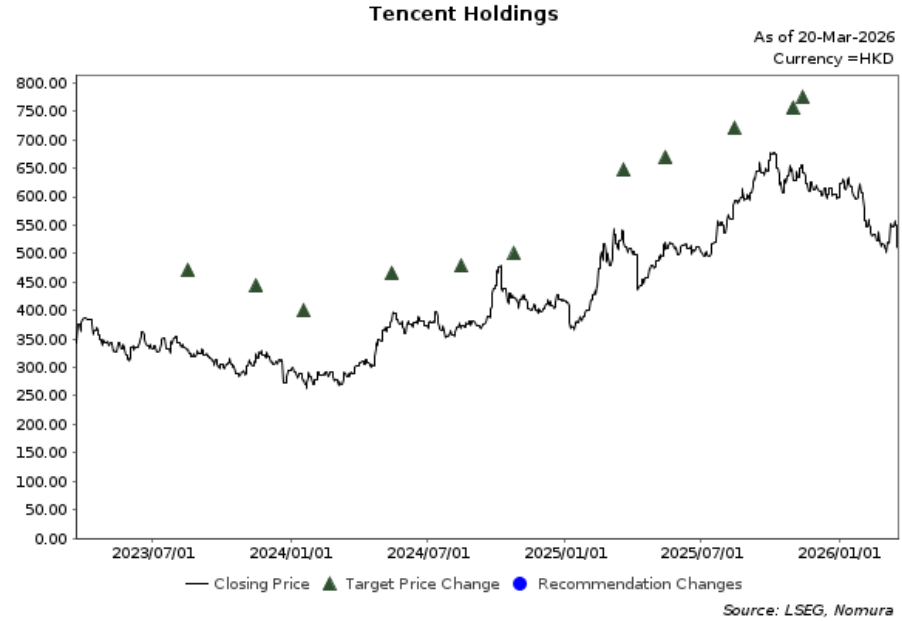
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Tencent Holdings	700 HK	HKD 508.00	20-Mar-2026	Buy	N/A	A10,A35
Alibaba Group Holding	BABA US	USD 124.90	19-Mar-2026	Buy	N/A	A10,A35

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.
A35 The Nomura Group beneficially owns 1% or more financial interest in the subject company.

Tencent Holdings (700 HK) **HKD 508.00 (20-Mar-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
14-Nov-25		775.00	641.00
31-Oct-25		757.00	629.00
14-Aug-25		721.00	590.00
15-May-25		670.00	520.00
20-Mar-25		648.00	519.50
25-Oct-24		500.00	421.00
15-Aug-24		478.00	368.40
15-May-24		467.00	381.80
18-Jan-24		400.00	277.60
16-Nov-23		445.00	324.80
17-Aug-23		472.00	332.80

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Tencent's online gaming business at USD283bn (FY26F P/E of 18x), online advertising business at USD235bn (FY26F P/E of 20x), Fintech business at USD163bn (FY26F P/E of 15x), and Cloud business at USD39bn (FY26F P/S of 5x). We value investees at USD118bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.
Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

Alibaba Group Holding (BABA US) **USD 124.90 (19-Mar-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Date	Rating	Target price	Closing price
23-Jan-26		237.00	173.23
09-Jan-26		193.00	150.96
08-Oct-25		215.00	181.12
01-Sep-25		170.00	135.00
09-Jul-25		152.00	103.83
21-Feb-25		172.00	142.62
18-Nov-24		130.00	88.65
10-Oct-24		135.00	108.42
16-Aug-24		106.00	82.52
09-Apr-24		101.00	71.80
08-Feb-24		103.00	69.63
10-Jan-24		117.00	70.25
17-Nov-23		134.00	76.34
11-Aug-23		142.00	94.16
19-May-23		136.00	82.61

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD87bn, based on 5x FY27F P/E; it is AliCloud business at USD390bn, based on 8.5x FY28F P/S; its international commerce business at USD11bn, based on FY27F P/S of 0.5x. We value Alibaba's net valuation of non-core assets at USD39bn. The resulting TP is USD237. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

Important Disclosures

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As at 31 December 2025.
**The Nomura Group as defined in the Disclaimer section at the end of this report.*
*** As defined by the EU Market Abuse Regulation*

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock,

subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

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